28 Hannah invests £5000 in a savings account for 3 years.
She receives 3.5% compound interest each year.

Show that Hannah has more than £5500 in the account at the end of the 3 years.

3.5% growth gives multiplier 1.035

After year 1: £5000 × 1.035 = £5175

1 mark
Add 3.5% of the current balance.

After 3 years: £5000 × 1.035^3 = £5543.589375

1 mark
Compound for all three years.

£5543.59 > £5500, as required.

1 mark
Keep full precision until the final money value.

(Total for Question 28 is 3 marks)

DO NOT WRITE IN THIS AREA
DO NOT WR